Pinnacle Early Learning
Early learning and childcare | NSW VIC QLD

Request for additional facility and covenant reset

To Quillwood Credit Partners

From: Chief Financial Officer, Pinnacle Early Learning
Reference: PEL-REQ-1026
Date: 1 October 2026

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Pinnacle Early Learning requests an increase of A$40.0M to its A$85.0M senior term loan, taking the facility to A$125.0M, to fund the acquisition of nine Little Acorns centres in the Hunter and on the Central Coast.

To give us room during integration, we also request that the net leverage covenant be reset from 3.25 times to 3.75 times for the four quarterly tests to 30 September 2027, returning to 3.25 times from 31 December 2027.

Occupancy across our centres has fallen from 84.0% in June 2024 to 79.1% in September 2026, mainly because of new competing centres in western Sydney, and wage increases under the new award have reduced margins. Little Acorns operates at 86% occupancy and earned EBITDA of A$6.6M over the last twelve months.

We would pay an upsize fee of 1.25% on the additional A$40.0M. Yours sincerely, Hamish Doyle, Chief Financial Officer.